

What is Budgetary Control? Explain its Advantages, Limitations and Techniques.

Budgetary control is a system of planning and controlling the activities of an organization through budgets.

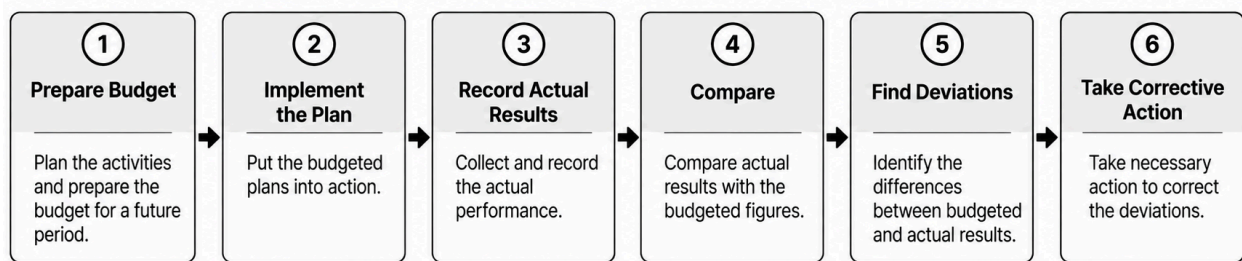
A **budget** is a plan expressed in numerical or monetary terms for a future period.

Objectives of Budgetary Control

The main objectives are:

1. **Planning** the future activities of the organization.
2. **Controlling expenditure** and avoiding unnecessary spending.
3. **Coordinating** the activities of different departments.
4. Providing **adequate working capital**.
5. Helping the organization to achieve its **goals**.
6. Comparing actual performance with planned performance.
7. Finding **deviations** and taking corrective action.

Process of Budgetary Control

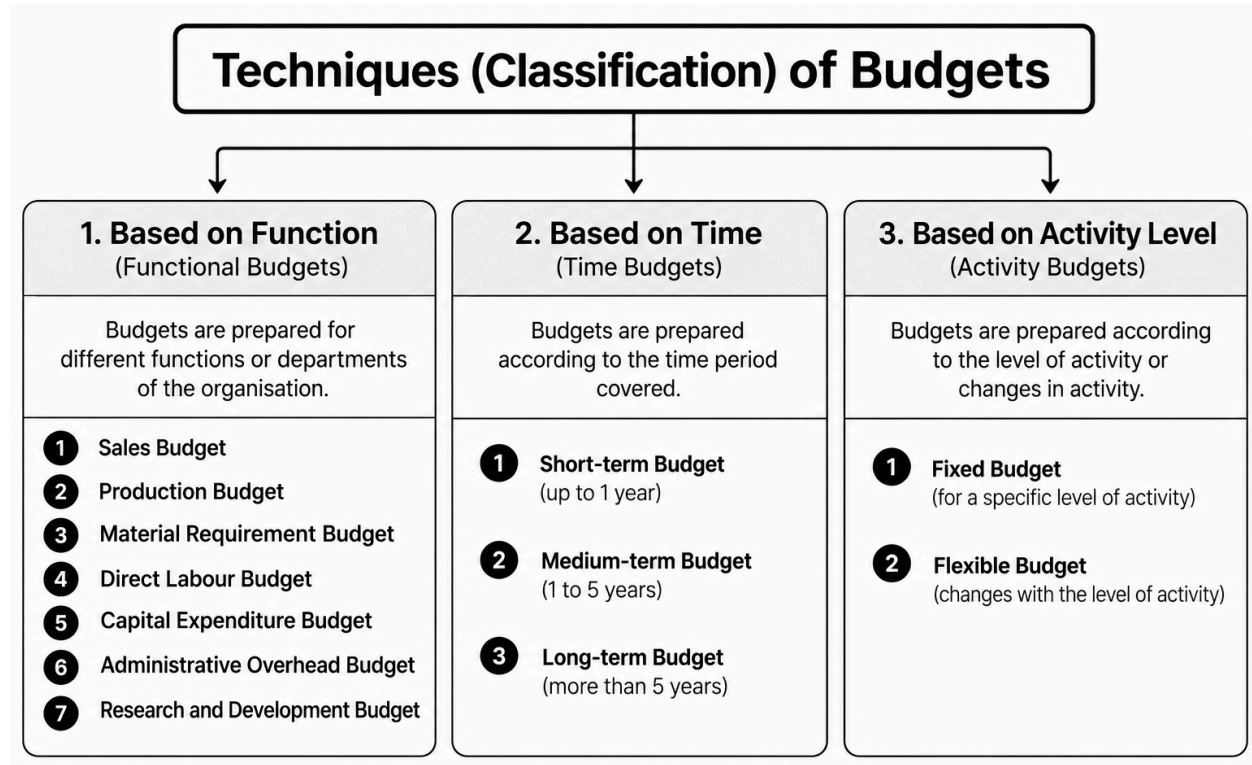


Example:

Budgeted Cost (for production)		Actual Cost (incurred)		Deviation (Actual – Budgeted)
₹ 1,00,000	–	₹ 1,20,000	=	₹ 20,000 (Adverse, i.e., over budget)

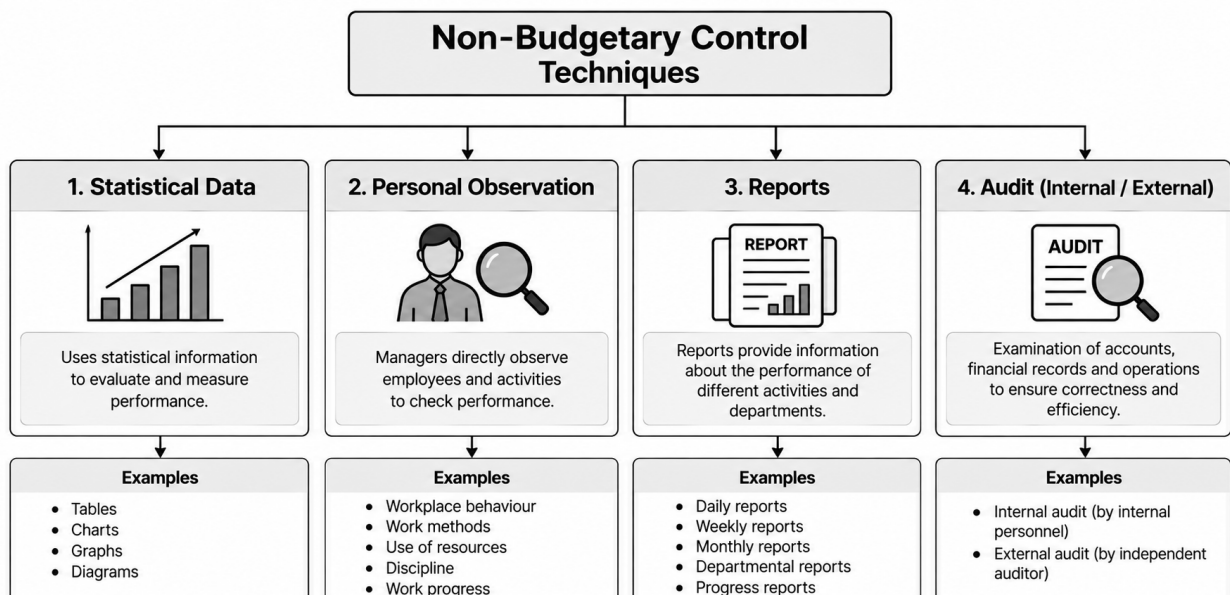
The manager finds the reason for the extra ₹20,000 and takes corrective action.

Techniques / Classification of Budgets



Non-Budgetary Control

Non-budgetary control means controlling organizational activities by using methods other than budgets. These methods help managers collect information, measure performance and identify problem



Budgetary vs Non-Budgetary Control

Budgetary Control	Non-Budgetary Control
Uses budgets for control.	Uses methods other than budgets.
Mainly uses financial and numerical targets.	Uses reports, observations, audits, statistics, etc.
Actual results are compared with budgeted results.	Performance is checked using different control techniques.
Helps control expenditure and resources.	Helps understand overall performance and operations.
Example: Production budget.	Example: Internal audit, PERT.

Define Controlling. Explain the Process of Control and the Significance of Control in Management.

Controlling

Controlling is the process of checking whether the actual work is done according to the planned work and taking corrective action when necessary.

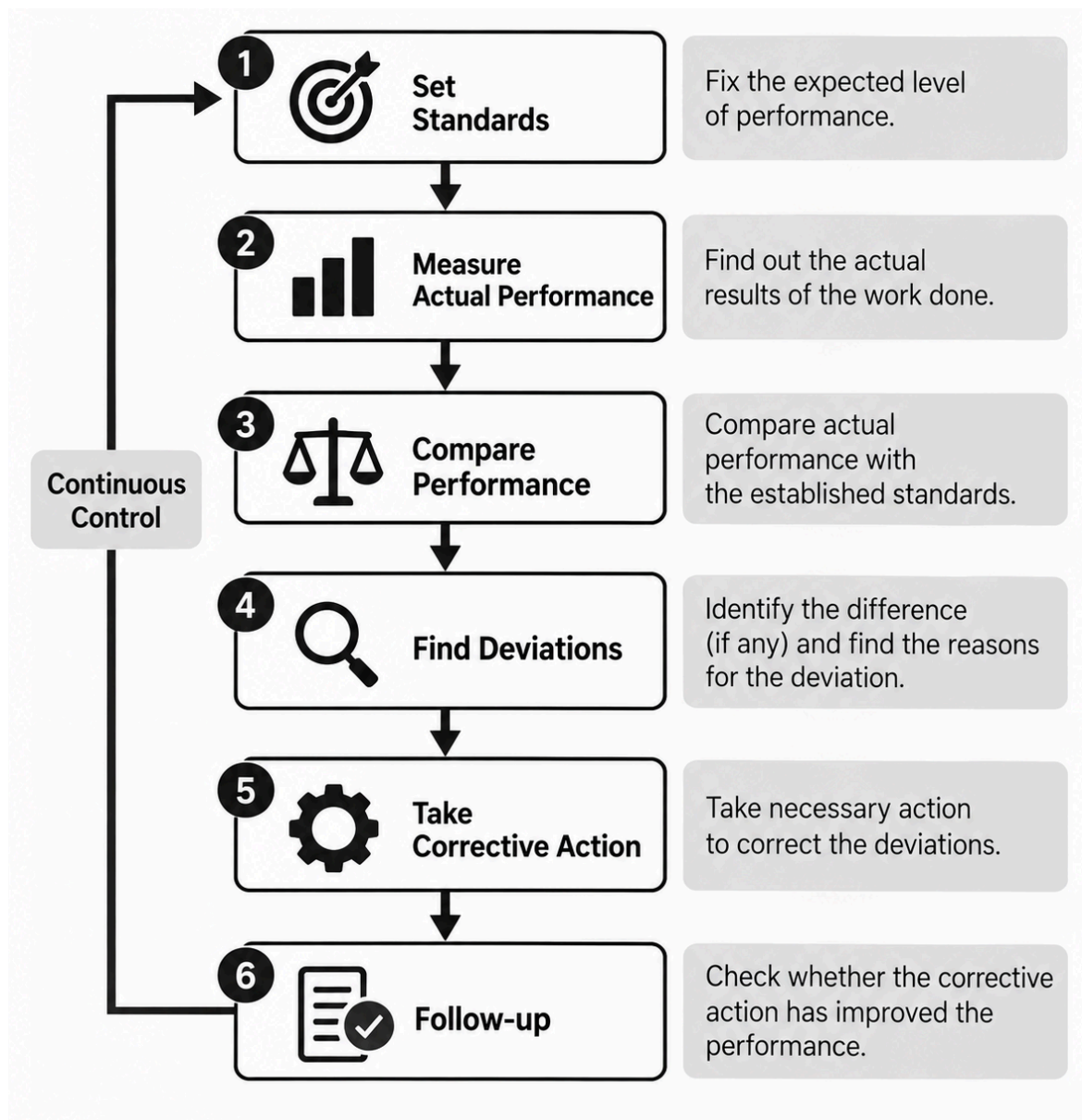
Process of Control

Significance of Control in Management

Control is important for the following reasons:

1. Helps to Achieve Goals: Control checks whether organizational activities are moving towards the planned goals.

2. Finds Mistakes: It helps managers identify mistakes and deviations in work.



3. Takes Corrective Action: When actual performance is different from the plan, corrective action can be taken.

4. Improves Efficiency: Control helps employees and departments use **time, money and resources** properly.

5. Helps in Better Planning: The results of control help managers understand what went wrong and prepare better plans in the future.

6. Maintains Standards: Control ensures that work is carried out according to the required standards.

7. Reduces Waste: It helps reduce unnecessary use of materials, money, time and other resources.

8. Improves Coordination: Control helps different departments work according to common organizational plans.

9. Helps in Decision-Making: Managers get information about actual performance, which helps them make better decisions.

10. Ensures Organizational Discipline: Regular checking encourages employees to perform their duties properly.

Simple Example of Control

1

Standard

Produce 1,000 units per month.



2

Actual Performance

Actually produced 900 units.



3

Comparison

Standard = 1,000 units
Actual = 900 units
Deviation = 100 units (shortage)



4

Find Cause

Machine breakdown and shortage of materials.



5

Corrective Action

Repair the machine and arrange materials.



6

Follow-up

Next month production improved to 1,000 units.

Examine the Role of Computers and Information Technology in Management Control. Illustrate How IT Improves Decision-Making and Organizational Performance.

Computers and Information Technology (IT) are important tools in modern **management**. They help managers collect, store, process and communicate information quickly.

IT helps management in **planning, controlling, decision-making, coordination and performance improvement**.

Role of Computers and IT in Management Control

1. Collection of Information

Computers collect information from different departments such as sales, production, finance and human resources.

Example: A company collects daily sales information using computer software.

2. Storage of Data

Large amounts of organizational data can be stored safely in databases.

Example: Employee records, customer details and financial records can be stored electronically.

3. Processing Information

Computers process large amounts of data quickly and accurately.

Example: A computer can calculate monthly sales and expenses automatically.

4. Performance Monitoring

IT helps managers monitor the performance of employees, departments and the organization.

Example: A dashboard shows daily sales against the target.

5. Budgetary Control

Computers help compare **budgeted values with actual results**.

Example:

Budgeted Cost = ₹1,00,000

Actual Cost = ₹1,20,000

Deviation = ₹20,000

The manager can identify the reason for the difference.

6. Inventory Control

IT helps organizations monitor stock levels.

Example: When stock becomes low, the system can generate an alert for purchasing.

7. Financial Control

Computerized accounting systems help managers monitor income, expenses, profit and financial performance.

8. Communication

IT provides fast communication through:

- E-mail
- Video meetings
- Messaging systems
- Online collaboration tools

9. Reporting

IT can generate regular reports for managers.

Example: Daily sales report, monthly financial report and employee performance report.

10. Corrective Action

When IT identifies a deviation or problem, managers can take corrective action quickly.

How IT Improves Decision-Making

IT supports managers by providing **accurate, timely and useful information**.

1. Faster Decisions
2. Accurate Information
3. Real-Time Information
4. Data Analysis
5. Forecasting
6. Better Problem Identification
7. Decision Support

How IT Improves Organizational Performance

1. Increases Productivity
2. Reduces Time
3. Reduces Cost
4. Improves Quality
5. Better Resource Utilization
6. Improves Coordination
7. Improves Customer Service
8. Supports Continuous Monitoring

